CHAPTER – 11

DISCHARGE OF CONTRACT

Meaning:

Discharge of a contract means termination of contractual relation between the parties to a contract. In other words, a contract is discharged when the rights and obligations created by it are extinguished.

Modes of discharge of contract:

Discharges By Performance

Fulfillment of obligations by a party to the contract within the time and in the manner prescribed in the contract.

Actual performance – No party remains liable under the contract. Both the parties performed.

Attempted performance or Tender: Promisor offers to perform his obligationunder the contract but the promise refuses to accept the performance.

Illustration: Aman agrees to sell his Car to Amar for an amount of Rs 2,00,000. The amount is to be paid by Amar on the delivery of the Car. As soon as it is delivered, Amar pays the promised amount. Since both the parties to the contract fulfil their obligation arising under the contract, then it is discharged by performance.

Discharge By Mutual Agreement

Section 62 and 63 of the Indian Contract Act deals with contracts in which the obligation of the parties to it may end the contract by the consent of the parties.

Novation: It means substitution of a new contract in the place of the original contract. The already existing contract is thereby discharged. The new contract may be between the same parties (by change in the terms and condition), or between different parties (the term and condition remain same or changed).

Following conditions are to be satisfied:

- All the parties must consent to novation
- The novation must take place before the breach of original contract.
- The new contract must be valid and enforceable.

Illustration: A owes B Rs.50,000. A enters into an agreement with B and gives B a mortgage of his estate for Rs.40,000 in place of the debt of Rs.50,000.

Illustration: A owes money Rs.50,000 to B under a contract. It is agreed between A, B & C that B shall henceforth accept C as his Debtor instead of A for the same amount. Old debt of A is discharged, and a new debt from C to B is contracted.

Rescission: It means cancellation of the contract by any party or all the parties to a contract.

Illustration: X promises Y to sell and deliver 100 bales of cotton on 1st Oct and Y promises to pay for goods on

5th Oct. X does not supply the goods. Y may rescind the contract.

Alteration: It means a change in one or more of the terms of a contracts with mutual consent of parties. The parties of new contracts remain the same.

Illustration: X Promises to sell and delivers 100 bales of cotton on 1st Oct and Y promises to pay for goods on 1st Nov. Afterwards X and Y mutually decide that the goods shall be delivered in five equal installments. Here original contract has been discharged and a new contract has come into effect.

Remission: It means accepting a lesser consideration than agreed in the contract. Remission takes place when a Promisee:

— dispense with (wholly or part) the performance of a promise made to him.

— Extends the time for performance due by the promisors

— Accept a lesser sum instead of sum due under the contract

— Accept any other consideration that agreed in the contract.

Illustration: A owes B 5,000 rupees. A pays to B, and B accepts, in satisfaction of the whole debt, 2,000 rupees paid at the time and place at which the 5,000 rupees were payable. The whole debt is discharged.

WAIVER: Waiver means giving up or foregoing certain rights. When a party agrees to give up its rights, the contract is discharged.

Illustration: A promises to paint a picture of B. B afterwards forbids him to do so. A is no longer bound to perform the promise

Distinction between novation and alteration:

Basis	Novation	Alteration
1. Meaning	It is substitution of an existing contract with new one.	It is alteration to some of the terms and conditions of theoriginal Contract.
2. Change in Parties	It is made by – (a) change in the terms of the contract or (b)change in the Contracting Parties.	Terms of the contract may be altered by mutual agreements by the same contracting parties. So, there is no change in the parties.
3. New Contract	A New Contract comes into existence in place of the old one.	It is not essential to substitute a new contract in place of the oldcontract.
4. Performance	Old contract need not be Performed; New contract mustbe performed.	Old contract as per the altered terms shall be performed.

Discharge By Operation of Law

(a) Death: Involving the personal skill or ability, knowledge of the deceased party one discharged automatically. In other contract the rights and liability passed to legal represent.

Illustration: A promises to perform a dance in B's theatre. A dies. The contractcomes to an end.

(b) Insolvency: - when a person is declared insolvent. He is discharged from his liability up to the date of insolvency.

Illustration: A contracts to sell 100 bags of sugar to B. Due to heavy loss bya major fire which leaves nothing to sell, A applies for insolvency and is adjudged insolvent. Contract is discharged.

(c) By unauthorized material alteration – without the approval of other party – comes to an end – nature of contract substance or legal effect.

Illustration: A agrees upon a Promissory Note to pay Rs.5,000 to B. B the amount as Rs.50,000. A is liable to pay only Rs.5,000.

(d) Merger: When an inferior right accruing to a party in a contract merge into a superior right accruing to the same party, then the contract conferring inferior right is discharged.

Illustration: A took a land on lease from B. Subsequently, A purchases that land. A becomes owner of the land and ownership rights being superior to rights of a lessee, the earlier contract of lease stands terminated.

Lapse of Time

Where a party fails to take action against the other party within the time prescribe under the Limitation Act, 1963. All his rights to come end.

Discharge By Breach Of Contract

Breach means failure of a party to perform his obligations under a contract. Breach brings an end to the obligations created by a contract.

(a) Anticipatory Breach of contract: - Anticipatory breach of contract occurs when the part declares his intention of not performing the contract before the performance is due.

(i) Express repudiation: The party breaches the contract expressly.
Illustration: A agree to supply B 100 tunes of specified category of iron on 15.01.2006 on 31.12.2005.A express his unwillingness to supply the iron to B.

(ii) Party disables himself: - Implied by conduct.

Illustration: A agree to sell his fiat car to B on 15.01.2006 on 31.12.05 5 sells his fiat car to T.

Actual Breach of contract: - If party fails or neglects or refuses to perform his obligation on the due date of performance or during performance. It is calledas actual breach.

During performance – Party has performed a part of the contact. Consequences of Breach of contract: The aggrieved party is discharged from his obligation and get rights to proceed against the party at fault. The various remedial available to an aggrieved party.

Discharge By Impossibility Of Performance

If the performance of a contract is impossible the same is void.

There are two kinds of Impossibilities:

(i) Initial Impossibility

An agreement to do an act impossible in itself is void. The object of making any contract is that the parties to it would perform their respective promises. If a contract is impossible of being performed, the parties to it will never be able to fulfill their object, and hence such an agreement is void,
Impossibilities involve both Physical and Legal impossibility:

Physical impossibility: A contract is void if it is identified to be non-feasible (not possible) due to physical factors, like time, distance, height, etc.

Illustration: A agrees with B to discover treasure by magic. The agreement is void.

Legal impossibility: A contract is void if it provides that something shall be done which as a matter of law cannot be done.

Illustration: A contracts to marry B, being already married to C, and being forbidden by the law to which he is subject to practise polygamy. The contract is void.

(ii) Supervening Impossibility

The performance of the contract may be possible when the contract is entered into but became impossible or unlawful.

It means that every contract is based on the assumption that the parties to the contract will be able to form the same when the due date of performance arrives. If because of some event, the performance has either become impossible or unlawful, the contract becomes void.

Effect of Supervening Impossibility:

- Where an act becomes impossible after the contract is made – void
- Becomes unlawful, beyond the control of promisor – void
- Promisor alone knows about the Impossibility – compensate loss.
- When an agreement is discovered to be void or where a contract becomes void

Cases when a Contract is Discharged on the Group of Supervening Impossiblity:

- Death of personal Incapacity
- Declaration of war
- Change of Law
- Non-existence or Non-occurrence of a particular state of thing necessary for performance.

Doctrine of Frustration

When the performance of the contract becomes impossible, the purpose that the parties have in mind is frustrated. If the performance becomes impossible, because of supervening event, the promisor is excused from the performance of the contract. This is known as Doctrine of Frustration under English law, and is covered by Section 56 of the Indian Contract Act. It is a term used in the law of contract to describe a defense to an action for non-performance based on the occurrence of an unforeseen event which makes performance impossible. A common situation is that the subject matter of the contract - a house or a car for example is unintentionally destroyed.

Generally, the non-performance is not excused. If the seller retained the risk of loss from damage or destruction, then the non-performance will likely be excused. However, if it is the buyer who carries the risk of loss, performance will not be excused. A seller will not be excused for nonperformance of an agreement to deliver a commodity.

Illustration: If A agrees to sell B 100 bushels of corn, and A's own crops are destroyed in an accident, A is still contractually obliged to sell B 100 bushels of corn because A can still obtain the corn elsewhere for the sale.

Case Law: Satyabrata Ghose V Mugneeram Bangur & Co

Facts In Brief: The dispute between the parties revolves around whether a contract for the sale of land was discharged and came to an end due to certain supervening circumstances that affected the performance of a material part of it.

Held: It was held that Section 56 will apply to both kinds of frustration. It further states that the word impossible has not been used here in the sense of Physical or Literal impossibility.

Case Law: Taylor V. Caldwell

Facts In Brief: Plaintiff and Defendant entered into a contract, in which, Defendant agreed to let the Plaintiff use The Surrey Gardens and Music Hall on four certain days. After the signing of the contract, but before the first contract, the concert hall was destroyed by fire. The destruction was without fault of either party and was so extensive that the concerts could not be given.

Held: A party's duty, under a contract is discharged if performance of the contact involves particular goods, which without fault of either party are destroyed, rendering performance impossible.

Reason for Frustration:

(a) Death or Incapacity of a party:

When the nature of the contract requires the personal performance of the contract by a particular person, the contact is deemed to be conditional upon the continued life or good health of the person so that it is possible for him to perform the contract.

Illustrations: A promise to paint a picture for B by a certain day at a certain day at a certain price. A dies before the day the contract cannot be enforced either by A's representative or by B.

(b) Frustration Due to Change of Circumstances:

The doctrine of frustration has been extended to those cases, where there was no physical impossibility of performance of the contract, but because of the change in circumstances the adventure was frustrated, or the literal performance of the contract the main object of the contract could not be fulfilled.